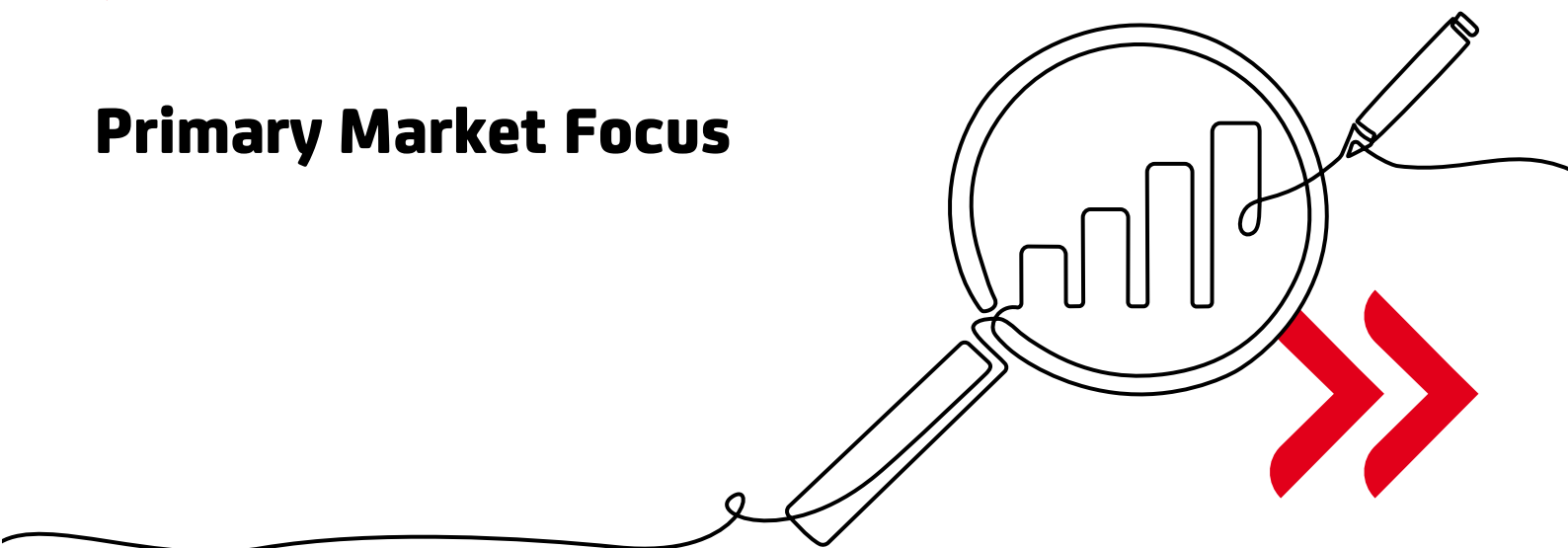


Primary Market Focus



Our *Primary Market Focus* is a deep dive into bond-issuance activity, highlighting trading opportunities for new and existing bonds.

BTP Short Term Feb28 has attractive carry return

22 April 2026

Bond up for auction

BTP Short Term 2.2% Feb28 for EUR 2.25-2.5bn

General moves in the market

Amid an overall decline in eurozone rates, short-dated Italian paper has performed well.

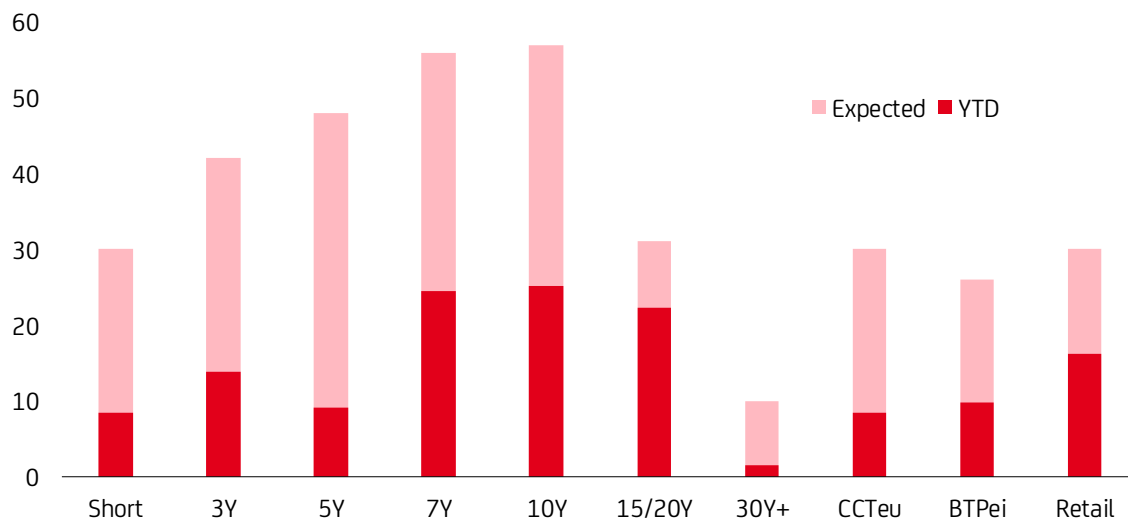
Trade recommendations

BTP Short Term Feb28 is still appealing in absolute and carry terms. Moreover, it remains cheap on the curve.

On Friday, Italy will reopen BTP Short Term 2.2% Feb28 for EUR 2.25-2.5bn. Reopenings for specialists will amount to EUR 500mn. The Italian Treasury will not tap any inflation-linked bonds as it recently sold EUR 3.5bn of the new BTPei 2.25% Feb46 via syndication.

Including EUR 16bn of BTP Valore Mar32, the Italian Treasury has sold EUR 140bn of medium/long-term securities so far this year, which represents 40% of this year's target. Almost 50% of issuance activity has been concentrated in the 7-15Y segment of the curve, where three syndicated deals took place. Based on our estimates, the 15-20Y sector is the most advanced in terms of funding progress. With respect to new benchmarks, Italy has so far issued a new BTP Short Term, a new 3Y BTP, two new 7Y BTPs, a new 10Y BTP, a new 15Y BTP, a new 20Y BTPei and a new 6Y BTP Valore. The Italian Treasury plans to offer a new 3Y BTP and a new 5Y BTP by the end of 2Q26. We expect it to sell the new 5Y bond next week and the new 3Y BTP in June. With respect to upcoming syndicated transactions, a new CCTeu and a new green BTP are potential candidates, while a new 30Y BTP is likely to be issued in the second half of the year. The new CCTeu could also be sold via auction. In addition, Italy is likely to offer a new retail bond before the summer break.

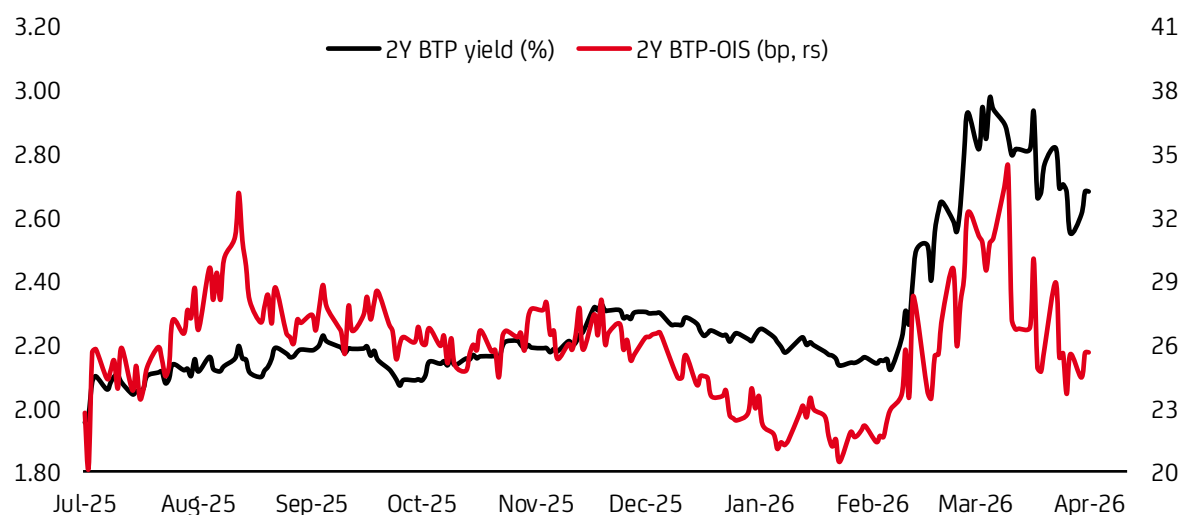
CHART 1: YTD AND EXPECTED SUPPLY FROM THE ITALIAN TREASURY (EUR BN)



Source: Italian Treasury, The Investment Institute by UniCredit

In terms of market moves, receding rate hike expectations have been good news for short-dated eurozone rates. The 2Y OIS rate is trading at 2.43%, 7bp lower than a month ago but 50bp higher than it was before the start of the US-Iran conflict. OIS forward rates are currently pricing in two 25bp rate hikes by the end of this year. This is consistent with our expectation of a hike in June and one in September. Italian paper has benefitted from the decline in rates and the slight improvement in investor mood. The 2Y BTP-OIS spread has tightened by 5bp to around 25bp, in line with its nine-month average.

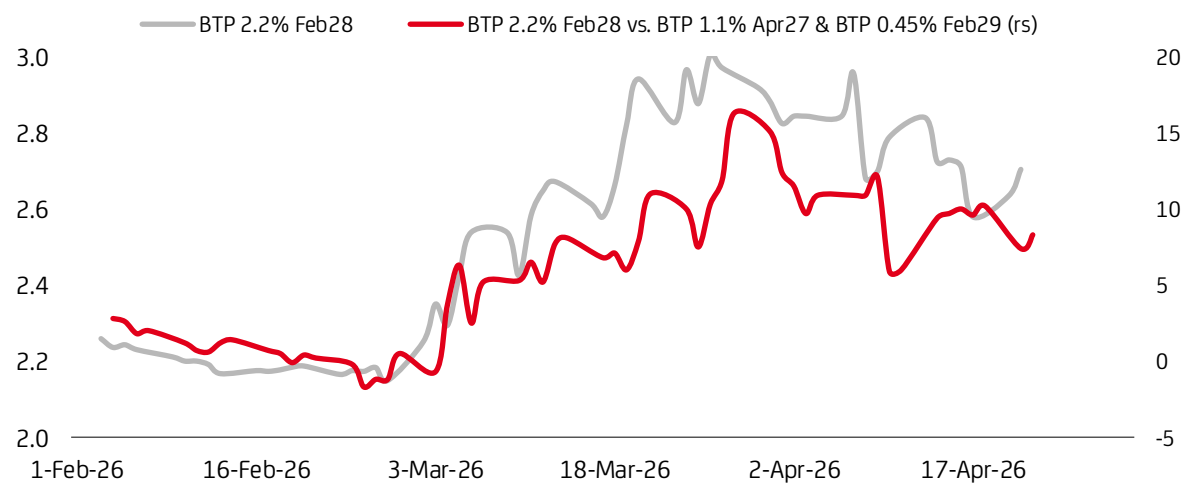
CHART 2: SHORT-DATED ITALIAN PAPER HAS RECENTLY PERFORMED WELL



Source: Bloomberg, The Investment Institute by UniCredit

BTP Short Term Feb28 is currently trading at 2.7%, 20bp lower than at its previous tap. Despite the recent decline, its yield remains decently appealing. It offers an attractive three-month carry and roll-down return of 13bp, the highest on the BTP curve. In line with other BTPs Short Term, BTP Short Term Feb28 is attractive relative to its peers as it offers a 3bp pickup to BTP 2% Feb28 and BTP 0.25% Mar28 – the pickup has been stable since the issuance of the 2Y benchmark. At 15-20bp (depending on the combination of bonds) the 1/2Y BTP spread is little changed compared to a month ago. As we highlighted a month ago, the 2Y area of the curve has cheapened since the start of the war relative to the 1Y and 3Y segments. As depicted in the chart below, the fly is highly directional with yields.

CHART 3: THE 1/2/3Y BTP FLY IS DIRECTIONAL WITH YIELDS



Source: Bloomberg, The Investment Institute by UniCredit

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